wapic

Wapic Insurance Plc.

Q1 2017 Financial Results
Presentation to Investors & Analysts

May 9, 2017

Presenters

Yinka Adekoya
Managing Director, Wapic Insurance Plc.

Dayo Arowojolu
Managing Director, Wapic Ghana Ltd.

Rantimi Ogunleye
Managing Director, Wapic Assurance Ltd.

Bode Ojeniyi
Executive Director, Sales & Distribution

Olufemi Obaleke
Executive Director, Subsidiaries

Seyi Taiwo
Chief Financial Officer

Zina Y. Giwa-Amu
Strategy, IT & Investor Relations

Introducing...

WAPIC SMART PRODUCTS

Welcome to our world

Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

128 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

6 Regional offices in Nigeria (Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

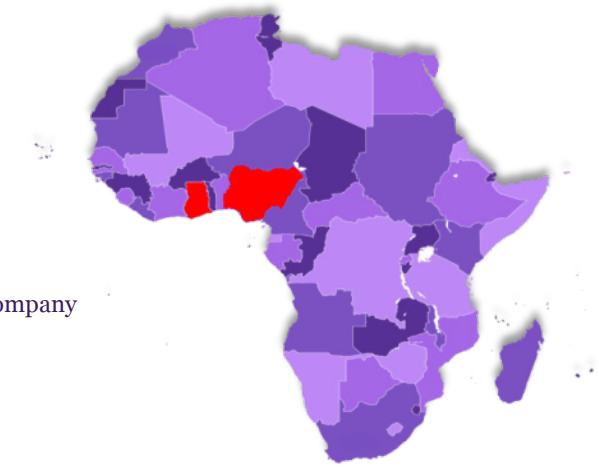
N27billion Portfolio

850,000+ Shareholders

17 Billion Assets Under Management

WAPIC Insurance Plc. (Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **C++ (Financial Strength Rating/Stable Outlook)** • **b+ (Issuer Credit Rating/Stable Outlook)**
Actuaries	H R Nigeria Limited; ALEXANDERFORBES
Re-insurers	Munich RE; AFRICA RE; CONTINENTAL REINSURANCE; WAICA RE; Ghana Re; Nigeria Reinsurance Corporation
Auditors	• PwC

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Regulatory and industry environment

NAICOM on January 23, 2017, released a statement of priorities for the year, citing a need for greater prudence and innovation. The commission has highlighted its focus on Service Delivery by the Commission; Market Development and Diversification of Distribution Channels; Capital Verification; Validation of Management Expenses; Enforcement of Statutory Returns; Risk Based Supervision; Framework for Information Technology (IT) Supervision; Validation of Competence of Senior Management and Persons in Control Functions as well as Corporate Governance.

Wapic applauds this bold statement and looks forward to the emergence of a dynamic industry.

NAICOM has endorsed the College of Insurance and Financial Management (CIFM) for bancassurance capacity development. This is a positive development and endorsement of long awaited channel development in the industry.

Mr. Sunday Thomas has been appointed as the Deputy Commissioner, Technical of the National Insurance Commission (NAICOM). Until his appointment, he was the Director-General of the Nigerian Insurance Association (NIA).

For effective supervision and regulation of insurance companies listed on the Nigerian Stock Exchange (NSE), the National Insurance Commission (NAICOM) and the Securities and Exchange Commission (SEC) have agreed on the need to collaborate on regulatory actions for better synergy.

The CBN has increased its intervention in the FX markets. This intervention is responsible for the recent convergence of rates in the F markets as the Naira appreciated significantly from an all-time low of over N500/$ to N380/$.

The National Pension Commission (PENCOM) and the National Insurance Commission (NAICOM) released a joint circular allowing life insurance companies to open operational accounts with the Pension Fund Custodians (PFC) of their choice.

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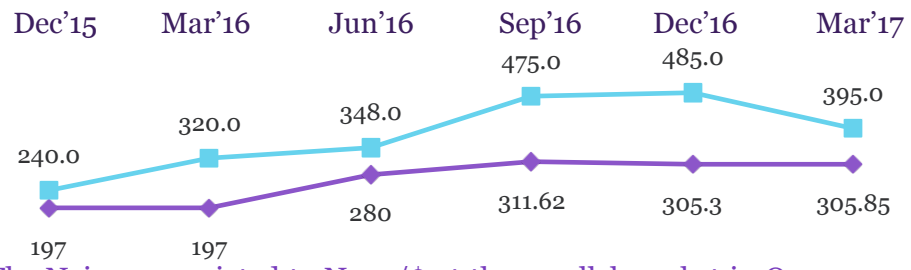
Operating environment

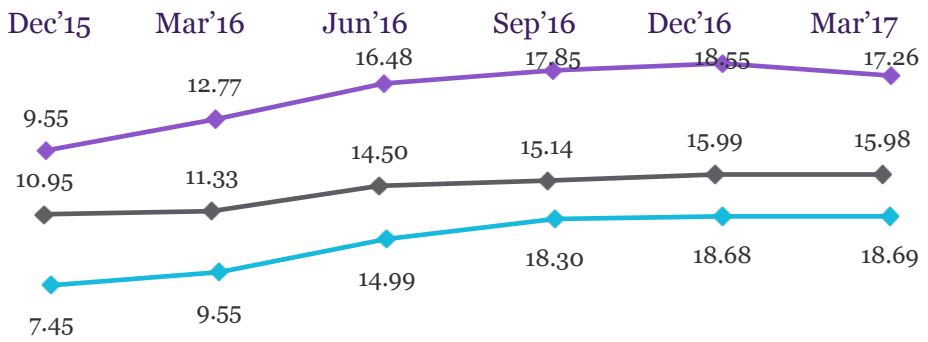
FX Rate N/$



The Naira appreciated to N395/$ at the parallel market in Q1 2017, backed by the CBN's intervention in the FX market. This regulatory stance, if sustained, is expected to achieve rates convergence between the Interbank and parallel markets.

Official Rate — Parallel Mkt —

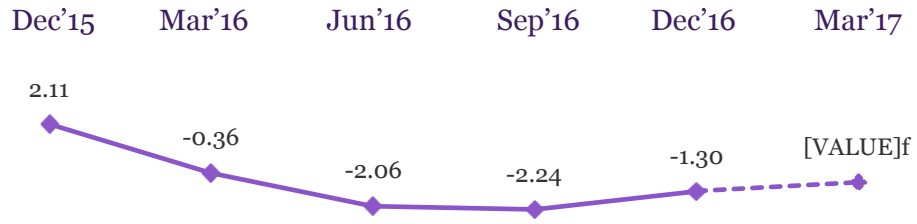
Inflation, Bonds & T-bills



Headline inflation slowed down to 17.26% in Q1 2017; the second consecutive month of decline in headline inflation since February 2017.

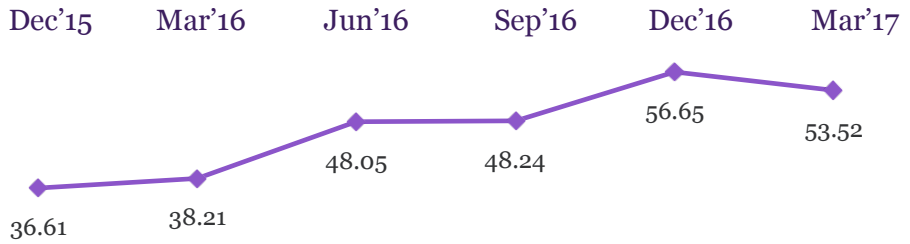
Inflation — 5-yr FG Bonds — 1-yr TBills —

GDP Growth (%)



Following several quarters of negative growth and an overall downturn in the economy, GDP is expected to improve by 50bps to -0.85% in Q1 2017. this is largely driven by the growth of the oil & gas sector due to a recovery in oil prices as well as the growth in the agricultural sector.

Crude Oil $/barrel



Oil prices increased to almost $57 per barrel in Q1 2017 as a result of the gains on output restriction by OPEC and Russia. This coupled with an increase in oil production boosted external reserves and aided CBN's intervention in the FX market.

Source: CBN, National Bureau of Statistics (NBS), Business Monitoring International (BMI)

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		Q1'17	Q1'16		%Δ
Earnings	Total Income	4,410	3,337	↑	+30
	Gross Written Premium	3,771	3,022	↑	+25
	Net Underwriting Income	1,428	1,159	↑	+23
	Total Underwriting Expenses	1,002	800	↑	+25
	Underwriting profit	426	358	↑	+19
	Net Investment & Other Income	485	306	↑	+53
	Expenses & Provisions	886	723	↑	+22
	Profit before Tax	384	163	↑	+135
	OPEX ratio	23%	24%	↓	-2
	Net claims ratio	51%	42%	↑	+20
	Earnings Per Share (Kobo)	0.02	0.001		

		Q1'17	2016		%Δ
Financial Position	Financial Assets	8,549	7,401	↑	+15
	Reinsurance Assets	2,576	1,573	↑	+64
	Total Assets	27,896	25,902	↑	+8
	Total Liabilities	11,272	9,336	↑	+21
	Shareholders' Funds	16,625	16,566	↑	+0.4
	ROA	1.4%	5%	↓	-72
	ROE	1.6%	4%	↓	-60

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Income statement review

NGN million

	Q1'17	Q1'16	%Δ
Gross Written Premium	3,771	3,022	↑ +25
Reinsurance expenses	879	713	↑ +23
Net claims expenses	649	463	↑ +40
Underwriting expenses	353	337	↑ +5
Underwriting profit	426	358	↑ +19
Investment income	414	289	↑ +43
Other operating income	71	17	↑ +324
Operating expenses	886	723	↑ +22
Profit before tax	384	163	↑ +135

Highlights

- GWP grew by 25% QoQ to N3.8bn at the end of Q1'17, up from N3bn achieved in the corresponding period of 2016.
- Reinsurance expenses grew by 23% to 879m as at Q1'17 from N713m recorded in Q1'16; driven by an increase in facultative reinsurance to balance exposure on specific risks particularly in the Oil and Energy and General Accident portfolios.
- The Group experienced an increase in gross claims payout for the period, when compared to the prior year, driving the 40% growth in Net Claims expense from N463m in Q1'16 to N649m in Q1'17.
- The 497% upsurge in other operating income was largely driven by realised foreign exchange gains, particularly in the Ghana operations.
- Underwriting profit improved by 19% QoQ to N426m in Q1'17 (Q1'16: N358m) benefiting from the growth in gross written premium.
- As we continue to implement our transformational strategies we also ensure that costs are optimized; the 22% QoQ growth in Operating Expense is well within our projection for the period.

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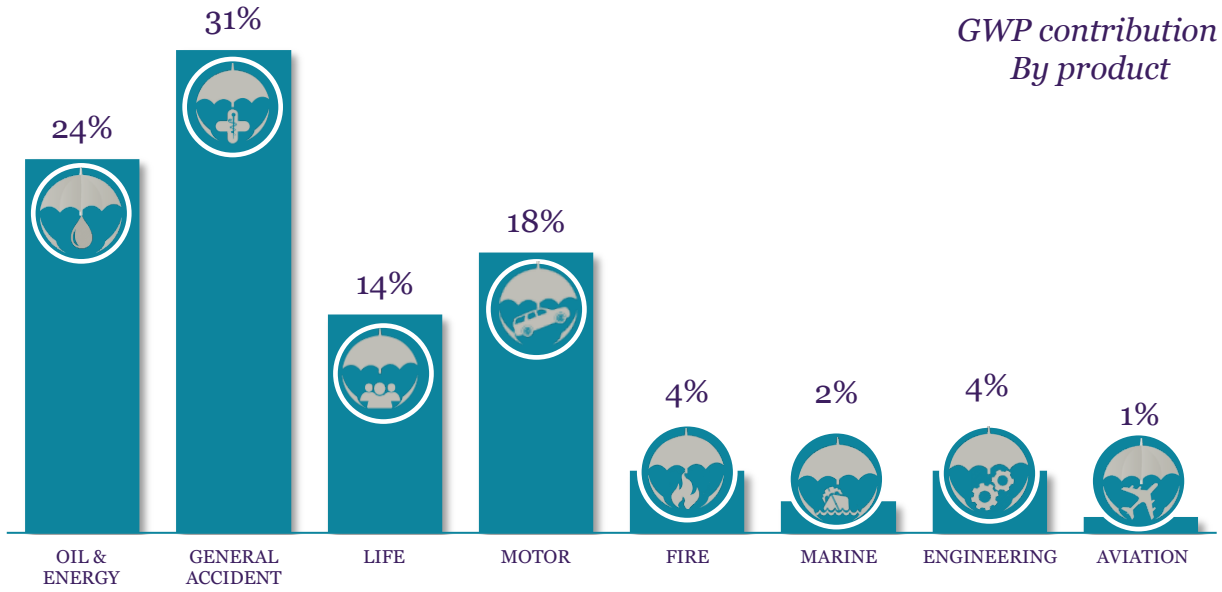
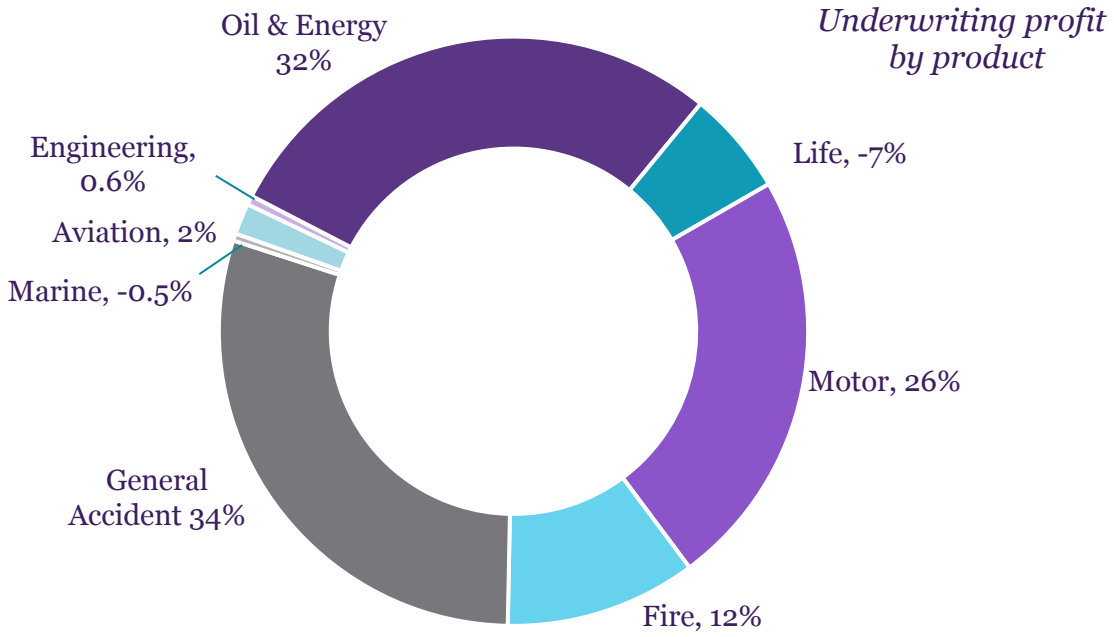
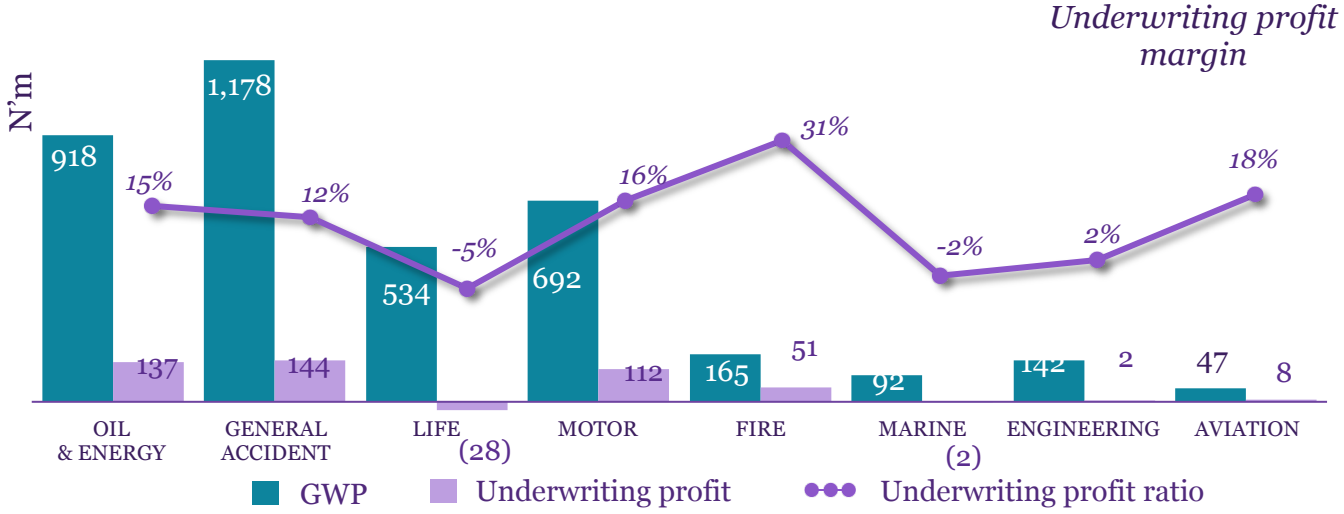
Product performance





Highlights

- General Accident was the top performer in quarter one, with a 31% premium contribution to the Group's GWP. It is closely followed by Oil & Energy at 24%. Motor and Life achieved equally strong performances at 18% and 14% respectively.
- Driven by their sales performance, General Accident and Oil & Energy were the two most profitable products in Q1'17, recording a 34% and 32% individual contribution to the Group's underwriting profit.
- The Group's Fire product recorded the highest underwriting profit margin ratio at 31% in Q1'17.



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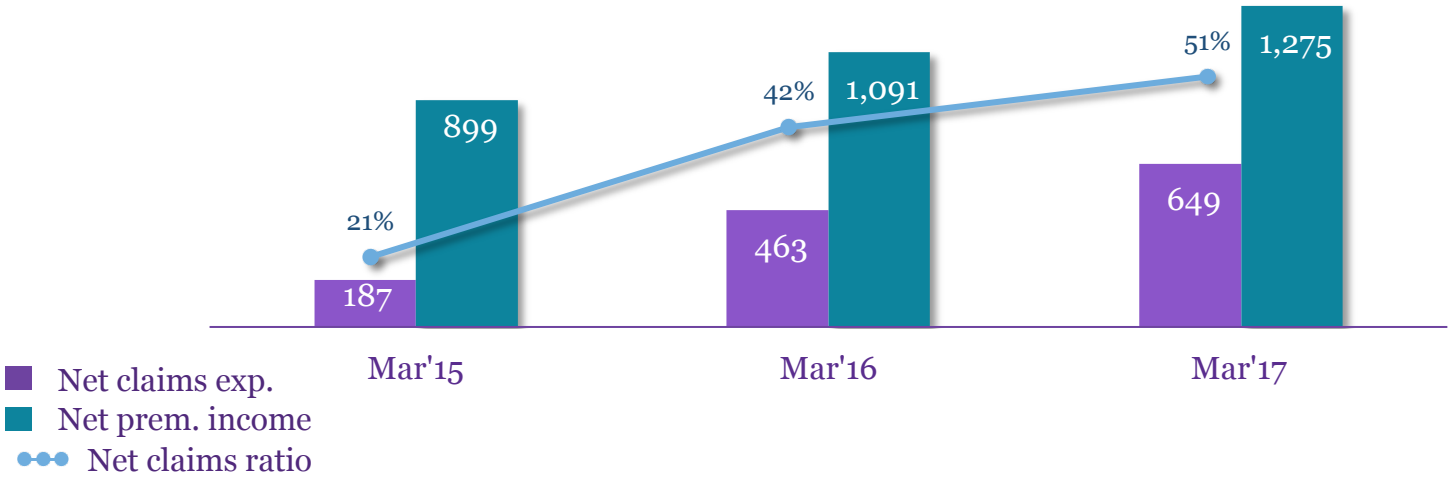
Group expenses

NGN million

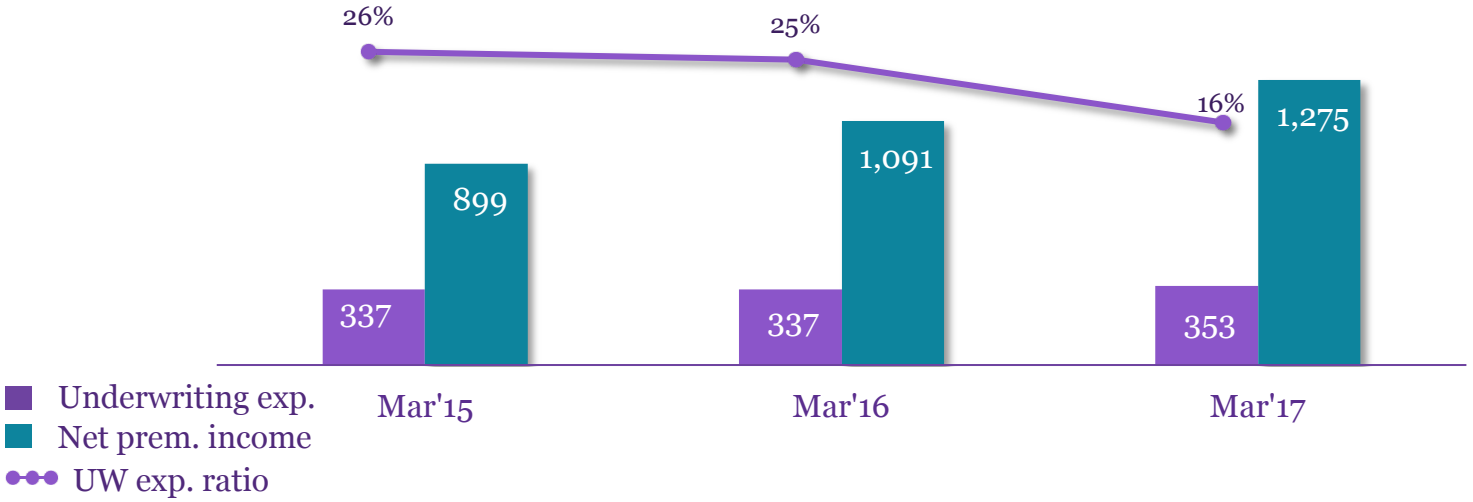
Net claims expenses

- Net claims expenses grew by 40% to a total of N649m in Q1'17 (Q1'16: N463m) largely impacted by an increase in claims settlement and increased IBNR for the period.
- Provision for IBNR, due to the growth in GWP, reflects the prudent approach adopted in allowing for the possibility of latent claims.
- Net Claims Ratio grew to 51% in Q1'17 compared with 41% in the corresponding period of Q1'16.



Underwriting expenses

- Underwriting expenses remained relatively flat QoQ at a 5% increase in Q1'17 against Q1'16. We continue to drive for improved efficiency.
- Owing largely to the growth in Net premium Income for the period, Underwriting expense ratio dropped by 36% on a QoQ basis to 16% in Q1'17.



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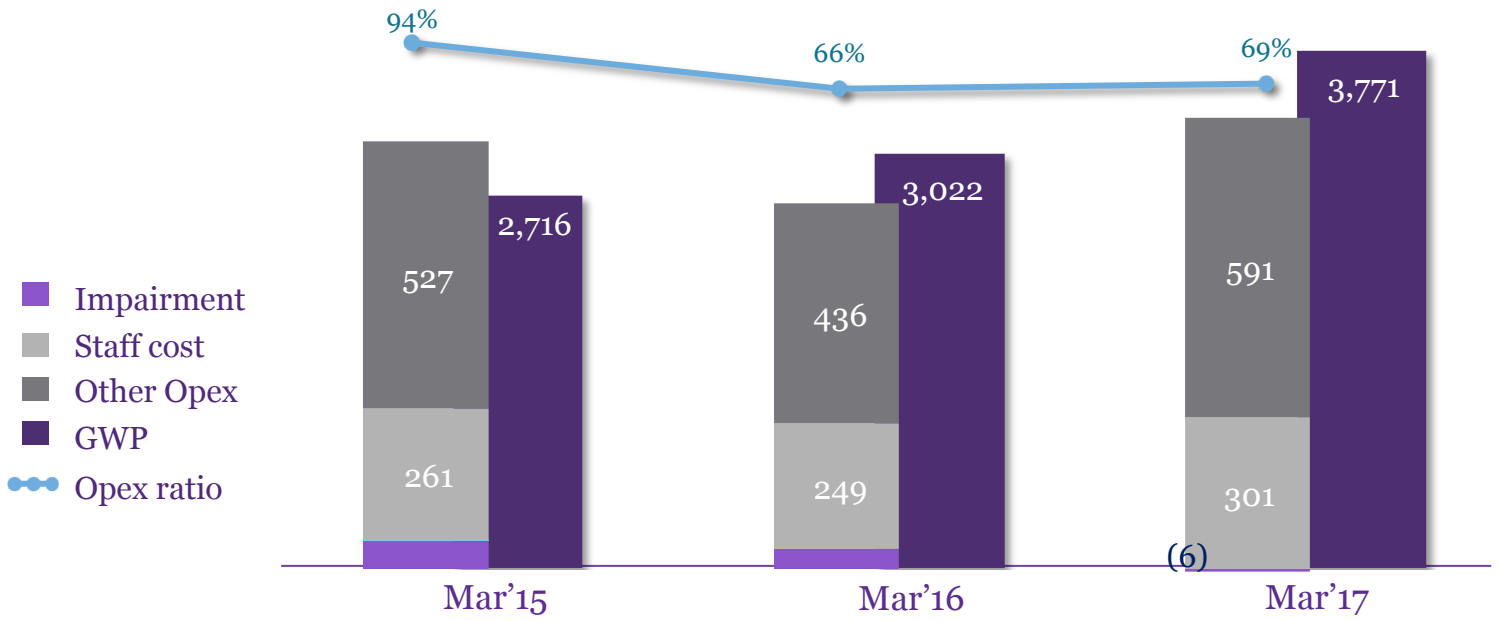
Group expenses

NGN million

Operating expenses

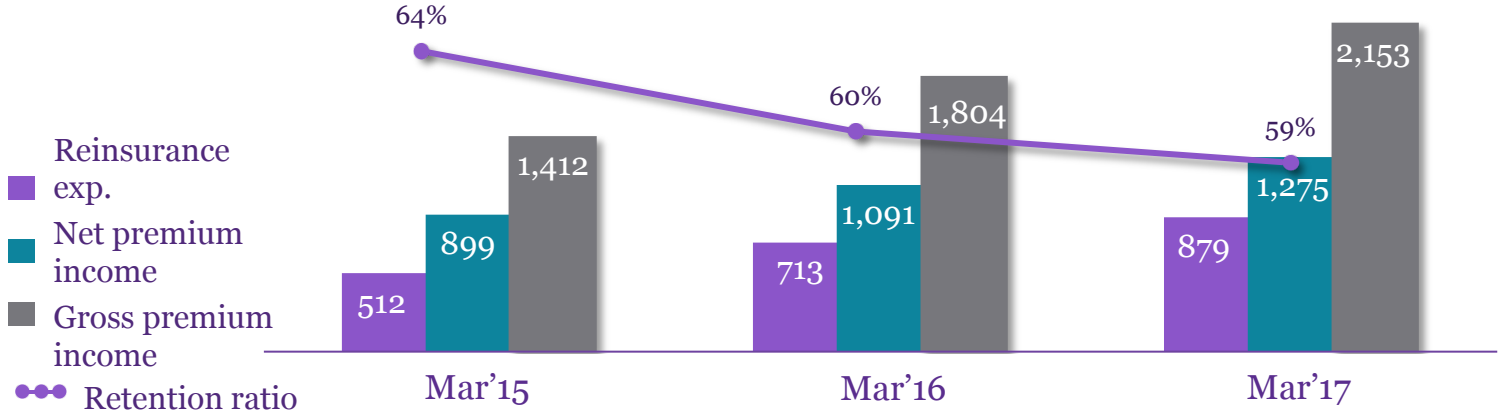
- Operating expenses grew by 22% QoQ to N886m in Q1'17 (Q1'15: N723m)

Key Drivers:
– The company's investment in people, resulting in a 21% increase in staff cost to N301m (Q1'16: N249m).
– Upgrade of our technology solution for business process optimisation, greater efficiency and seamless operations to achieve the highest level of customer satisfaction.
– Inflation and the depreciation in Naira during the period compared to the same period last year.



Reinsurance expenses

- Reinsurance expenses grew to N3.2bn, a 49% QoQ growth from N2.2bn in 2015.
- We are confident that the Reinsurance optimization focus will yield solid results.



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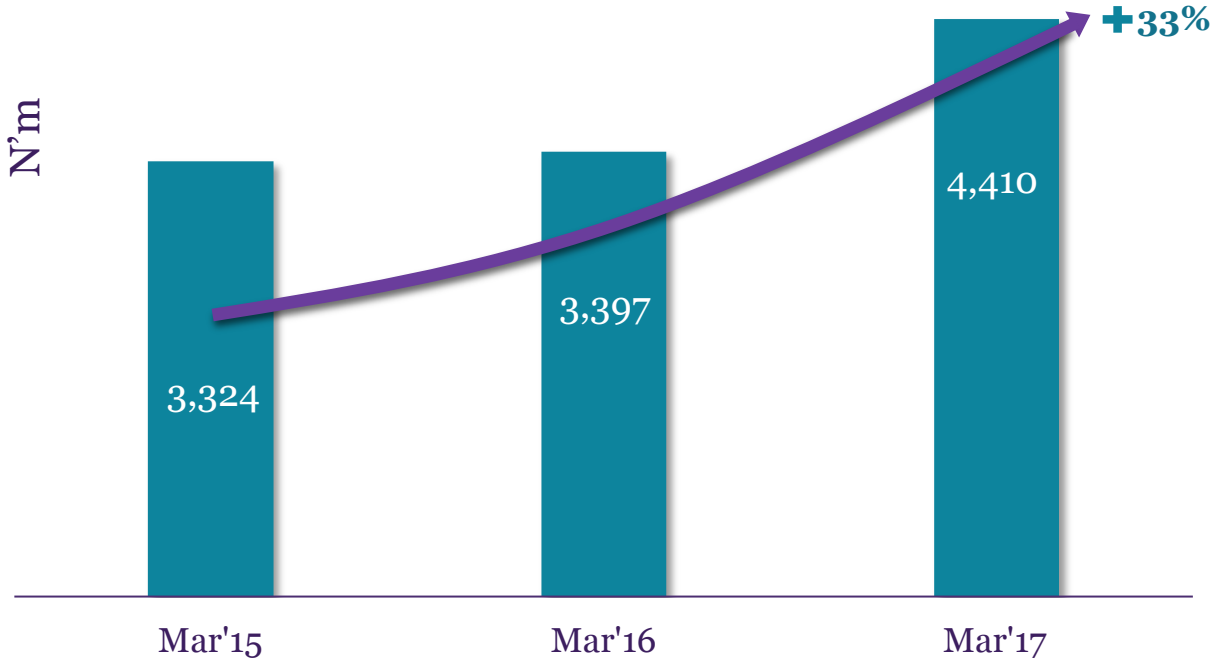
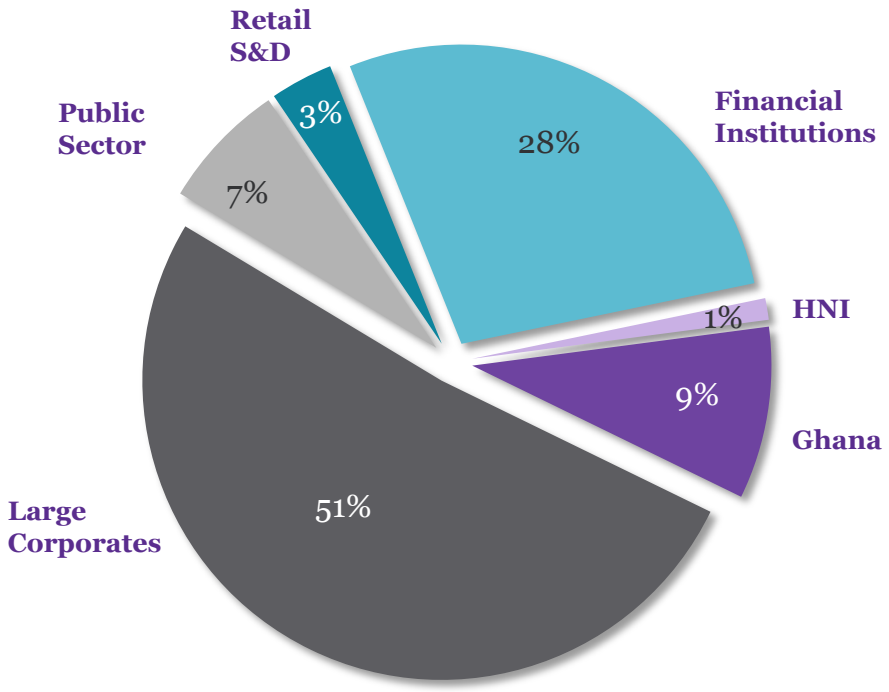
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income grew by 30% QoQ to close at N4.4bn in Q1'17 (Q1'16: N3.4bn)
- The Large Corporates group was the largest contributor to the Group's GWP in Q1'17 at 51%, followed by Financial Institutions group at 28%
- The Ghana subsidiary contributed 9% to the Group's total GWP
- Wapic has repositioned its teams for improved relationship and service delivery, a restructuring that is paying off

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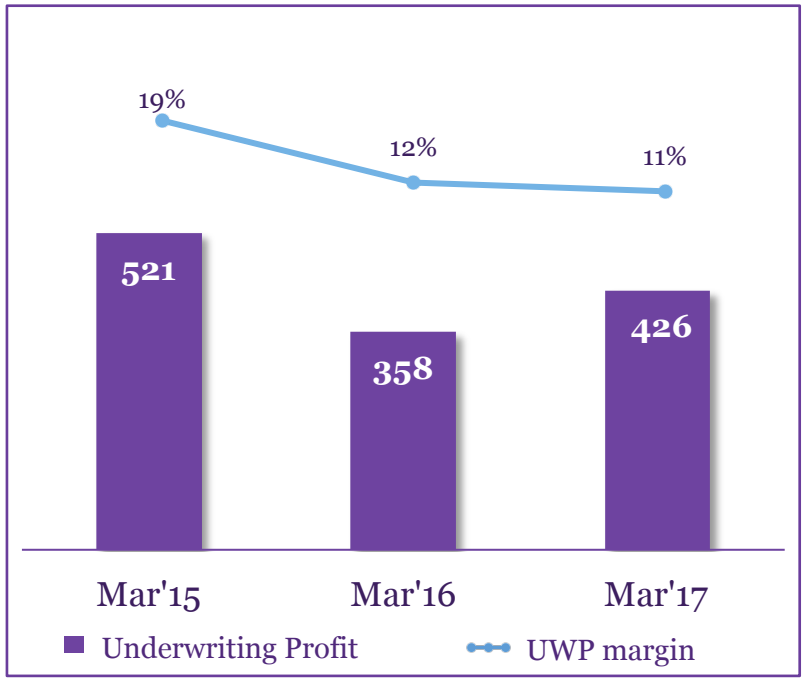
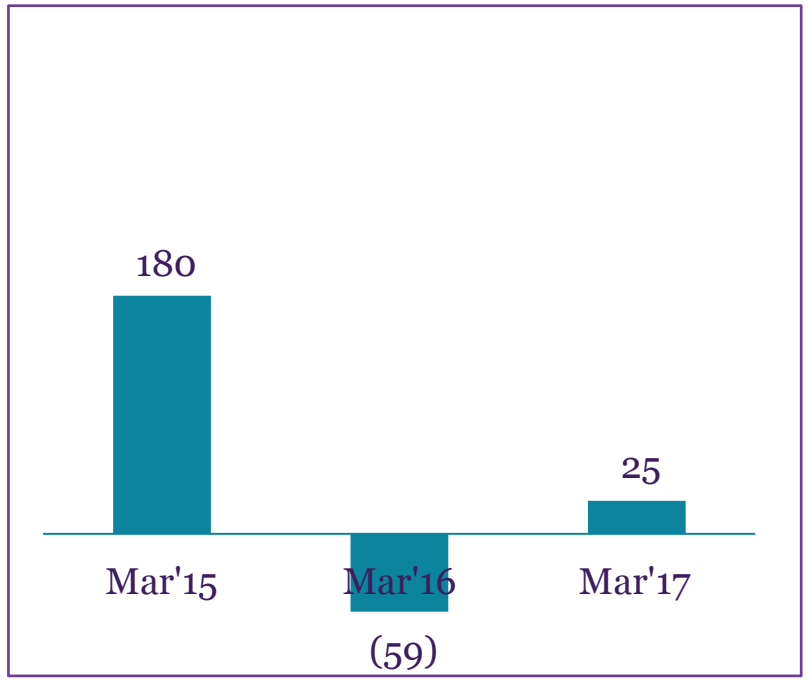
Group profit position

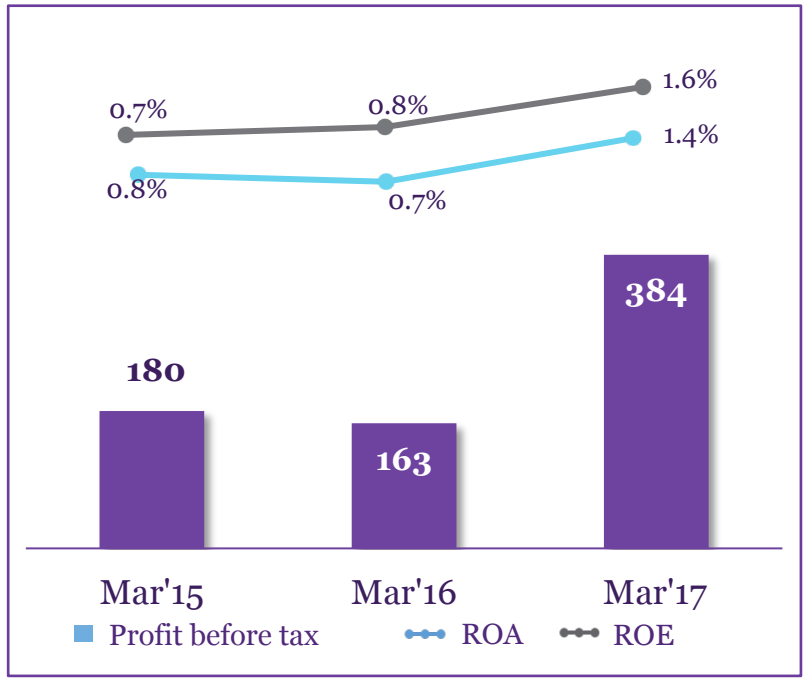
N'm Underwriting profit



N'm Operating profit



N'm Profit before tax



- There was growth in underwriting profit in Q1'17 at 19% QoQ compared to the prior year's position. Underwriting profit margin remained relatively flat at 12% and 11% in Q1'16 and Q1'17 respectively
- The Group recovered from an operating loss position recorded in Q1'16, improved its performance by 142% QoQ to close at N25m in Q1'17
- ROA and ROE maintained positive positions at 1.4% and 1.6% respectively for the period

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SOFP Review

Assets under Management

Statement of financial position

NGN million	Q1'17	FY'16	%Δ
Cash and cash equivalents	1,281	2,220	-42
Financial assets	8,549	7,401	+16
Reinsurance assets	2,576	1,573	+64
Trade receivables	434	554	-22
Other receivables & Prepayment	1,663	1,145	45
Investment property	540	540	0
Investment in associate	7,266	7,174	+1
Fixed assets and intangibles	4,214	4,229	-0.4
Other assets	1,372	1,066	+29
Total assets	**27,896**	**25,902**	+8
Trade payables	263	236	+11
Provisions & other payables	1,500	1,320	+14
Current income tax liabilities	299	208	+44
Insurance contract liabilities	7,978	6,374	+25
Investment contract liabilities	955	920	+4
Deferred Tax Liabilities	278	0	0
Total liabilities	11,272	9,336	+21
Equity	16,625	16,556	+0.4
Total equity & liabilities	**27,896**	**25,902**	+8

Highlights

- Cash and cash equivalents dropped by 42% compared to FY'16 due to portfolio realignment to benefit from higher-yielding assets.
- Financial assets grew by 16% reflecting the company's switch from cash and cash equivalent to take advantage of elevated yield in fixed income securities.
- Reinsurance Assets increased by 64% to N2.6bn in Q1'17 (FY'16: N1.6bn) driven by the growth in reinsurance expenses arising from a growth in GWP.
- Trade receivables made up of outstanding premiums on broker-related businesses written during the period, is at N434m in Q1'17, a 23% reduction from its FY'16 position.
- Insurance contract liabilities increased by 25% from FY'16, following a growth in GWP during the period.
- Increased reinsurance obligations impacted the 11% growth in Trade payables compared to the FY'16 position.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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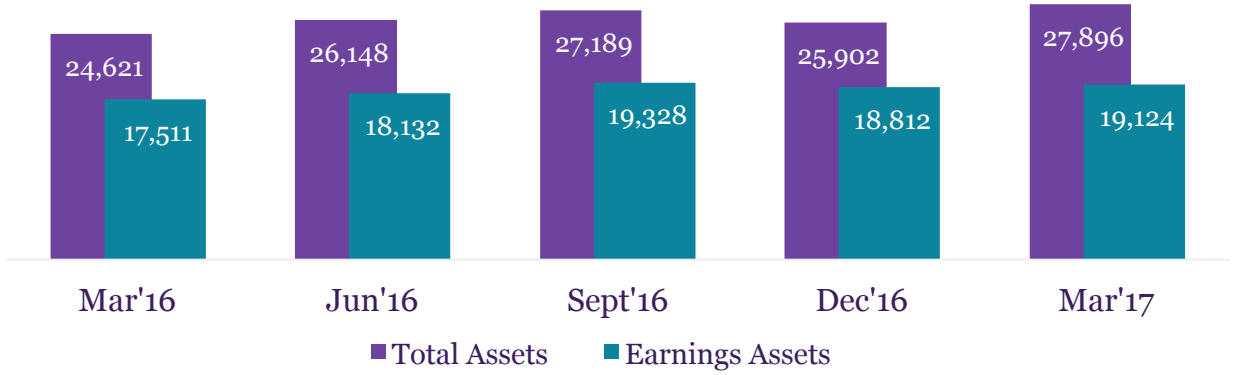
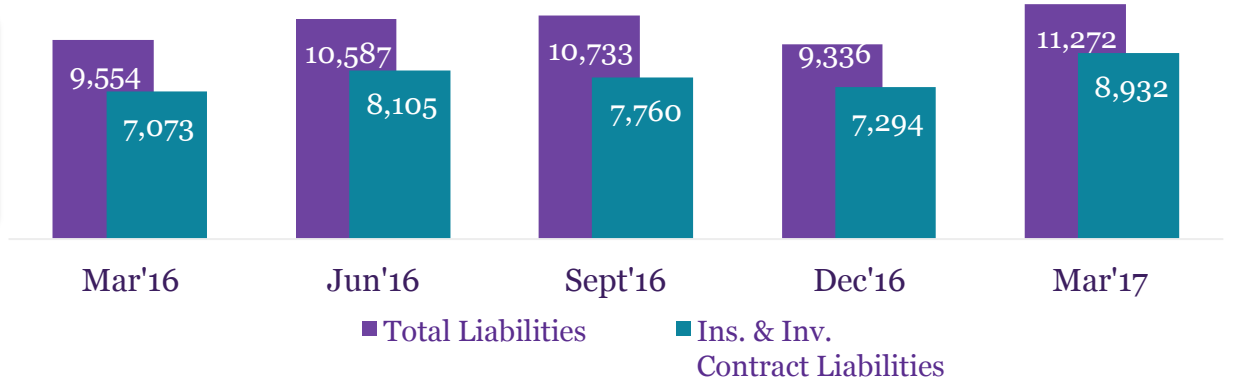
Highlights of financial position

NGN million

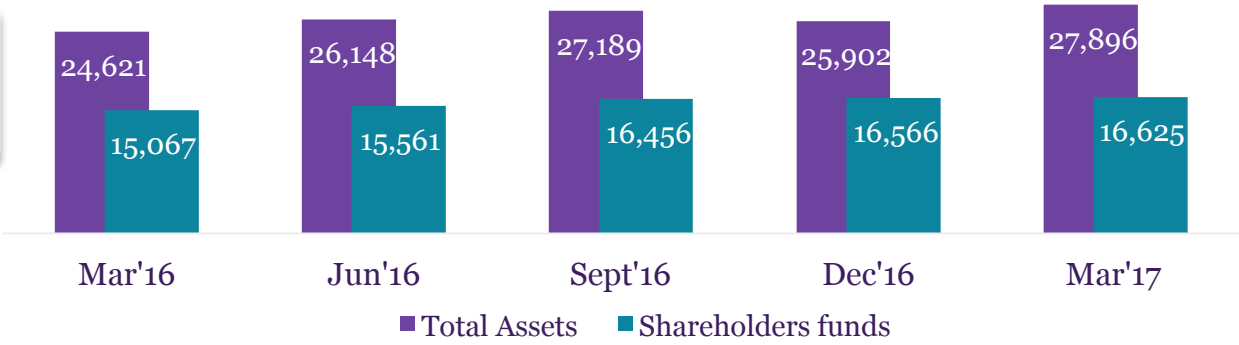
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- Earnings assets to Total assets ratio down slightly by 6% from the FY'16 position to 69% in Q1'17 due to increased investment in fixed assets.
- The Group grew its Total assets position by 8% to N27bn as at Q1'17 (FY'16: N26bn)
- Insurance and Investment contract liabilities stood at N8.9bn representing a 22% growth from the FY'16 position of N7.3bn.
- Total liabilities grew by 21% to N11bn in the period under review against FY'16 position. Key drivers include growth in Insurance contract liabilities and income tax liabilities recorded for the period.
- The Group's Shareholders funds saw a marginal uptick at N16.6bn in Q1'17 (FY'16: N16.5bn).

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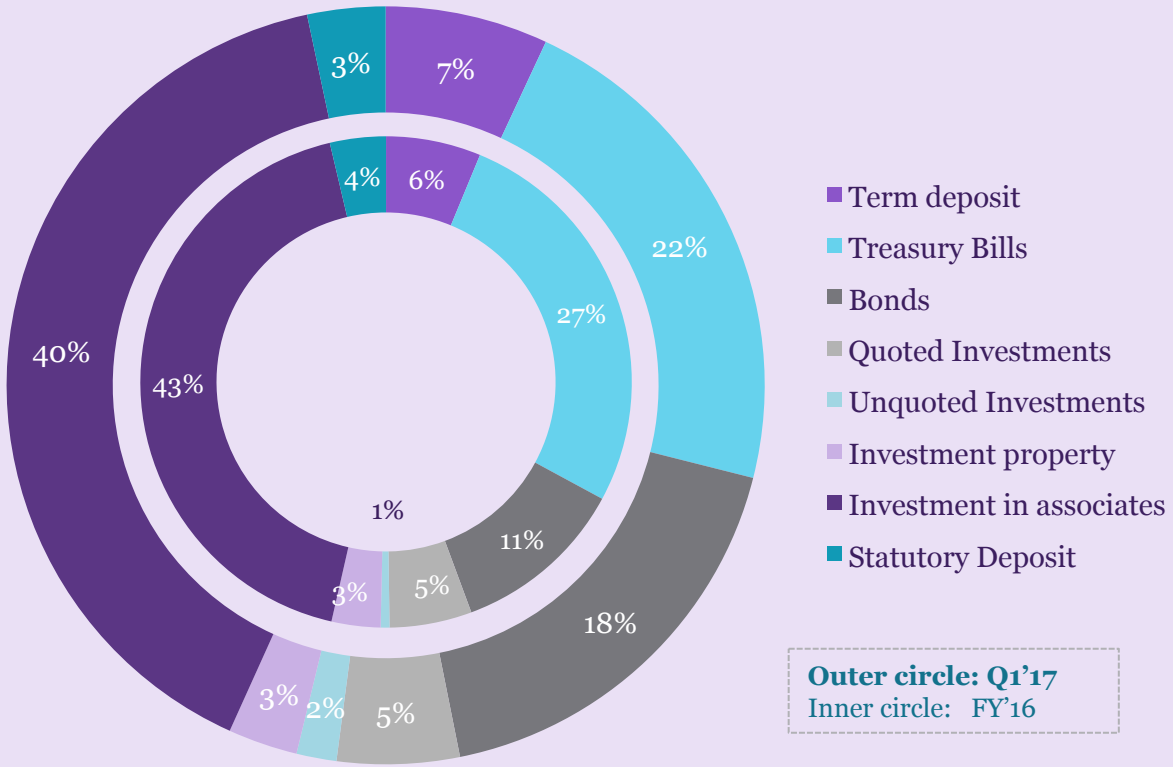
Assets Under Management

Assets under management

N'm	Q1'17	FY'16
Term Deposits	1,264	1,048
Treasury Bills	4,001	4,471
Bonds	3,262	1,924
Quoted Investments	950	909
Unquoted Investments	311	98
Investment Property	540	540
Investment in Associate	7,266	7,174
Statutory Deposit	618	618



- The increase in Term Deposits was aimed at improving liquidity of the Group's portfolio towards prompt service fulfillment
- Unquoted equities increased by 217% reflecting fund allocation for identified long term opportunity, while Quoted Equities growth was underpinned by fundamentals of the portfolio stock
- Marginal growth in the value of investment in associates is reflective of the Group's share of profit in CMB
- The 70% increase in Bonds is to lock-in the yield at the current level and improve asset liability matching of the portfolio

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How we build for the future

FINANCIAL

- With the focus on diversification of distribution channels, we expect continued growth in revenue in line with strategic projections
- We continue to proactively drive for a solid solvency margin, ahead of an expected regulatory change in capital adequacy rules

OPERATIONAL

- We will continue to enhance our underwriting processes through improved risk appraisal and selection
- We are transforming our corporate website into a world class e-business platform and customer experience touch point to enable sales and enhanced customer engagement
- A solid technology foundation will be foundational to our anticipated Customer Experience and Operational transformation

SALES

- Wapic's focus on innovation and SMART solutions is set to disrupt the marketing landscape
- We recently launched our innovative SMART products, designed to deepen our retail insurance penetration, grow our customer base and improve overall customer experience
- We continue to grow our corporate business especially in the oil and energy sector, leveraging the local content regulation

PEOPLE

- We remain focused on driving a high performance organization. The recruitment, engagement, development and retention of staff remain a priority, balanced against cost efficiency.

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Thank you

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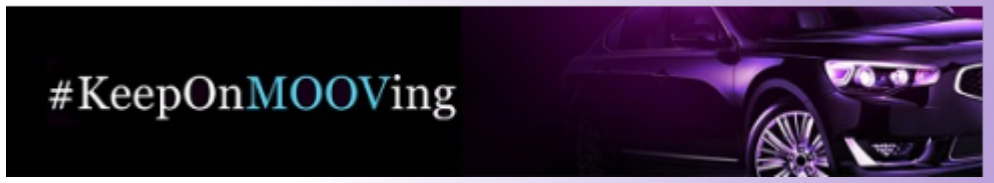

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